FINM3013 Introduction to Financial Derivatives

Chapter 05

Class exercises

Multiple Choice Questions

1. An investor shorts 100 shares when the share price is $50 and closes out the position six months later when the share price is $43. The shares pay a dividend of $3 per share during the six months. How much does the investor gain?
   A. $1,000
   B. $400
   C. $700
   D. $300

2. The spot price of an investment asset that provides no income is $30 and the risk-free rate for all maturities (with continuous compounding) is 10%. What is the three-year forward price?
   A. $40.50
   B. $22.22
   C. $33.00
   D. $33.16

3. An exchange rate is 0.7000 and the six-month domestic and foreign risk-free interest rates are 5% and 7% (both expressed with continuous compounding). What is the six-month forward rate?
   A. 0.7070
   B. 0.7177
   C. 0.7249
   D. 0.6930

4. Which of the following is NOT true?
   A. Gold and silver are investment assets
   B. Investment assets are held by significant numbers of investors for investment purposes
   C. Investment assets are never held for consumption
   D. The forward price of an investment asset can be obtained from the spot price, interest rates, and the income paid on the asset

5. Which of the following is a consumption asset?
   A. The S&P 500 index
   B. The Canadian dollar
   C. Copper
   D. IBM stock